Segmentation

Products

Retail Banking Products

FirstRand’s retail banking business is dominated by FNB, serving individuals and small to medium enterprises (SMEs) across South Africa and the wider SADC region. WesBank complements this with specialist vehicle and asset finance solutions.

Product	Provided by	Status	Description
Current accounts	FNB		Standard retail current and transactional accounts with digital and app-based banking capabilities.
Credit cards	FNB		Personal and business credit cards, rewards-linked, and integrated into digital platforms.
Personal loans	FNB		Unsecured personal and revolving loans for individuals with credit-scoring via FNB’s risk systems.
Vehicle finance loans	WesBank		Instalment finance for vehicles, equipment, and fleet management. A key business line for the group.
Mortgages	FNB		Residential mortgage products with variable and fixed-rate options.
Credit insurance	FNB, FirstRand Life		Loan-linked credit protection and life insurance products.
Instant access savings accounts	FNB		On-demand savings and hybrid transactional-savings accounts.
Notice accounts	FNB		Fixed notice savings with flexible withdrawal periods.
Term deposits	FNB		Fixed-term investments ranging from 30 days to several years.
Money market mutual funds	Ashburton Investments		Retail and institutional money market funds managed under Ashburton’s investment platform.

Corporate Banking Products

Corporate banking services within FirstRand are delivered jointly through FNB Business (serving SMEs and mid-sized corporates) and RMB (serving large corporates, multinationals, and public sector clients).

Product	Provided by	Status	Description

Product	Provided by	Status	Description
Payments	FNB, RMB		Domestic and cross-border payment solutions; participation in National Payment System.
Foreign exchange	RMB, FNB		FX spot, forward, and hedging products for trade and investment flows.
Savings and deposits	FNB, RMB		Corporate call accounts and structured deposits for institutional clients.
Corporate loans	FNB Business, RMB		Term loans and revolving facilities; offered to mid and large corporates.
Project finance	RMB		Structured project finance, particularly in energy, infrastructure, and resources sectors.
Syndicated loans	RMB		Participation in local and cross-border loan syndications.
Commercial real estate lending	FNB, RMB		Development and investment property finance.
Equipment leasing	WesBank		Asset-based and equipment leasing for business clients.
Trade financing	RMB		Documentary credits, guarantees, and trade finance facilities supporting imports/exports.

Investment Banking Products

RMB, the group’s investment banking arm, focuses on structured finance, capital markets, advisory, and risk management solutions for corporate, institutional, and government clients.

Product	Provided by	Status	Description
Swaps	RMB		Interest rate, currency, and commodity swaps for hedging and structuring solutions.
Credit Default Swaps (CDS)	RMB		Used for credit risk transfer and portfolio management.
Options	RMB		Derivative options for FX, rates, and equity exposure.
Asset-Backed Securities (ABS)	RMB		Securitisation of vehicle and loan portfolios, typically issued via WesBank or FNB channels.
Mergers & Acquisitions (M&A)	RMB		RMB provides advisory services but not on the same scale as global bulge-bracket firms.
Initial Public Offerings (IPOs) and Leveraged Buyouts (LBOs)	RMB		Occasionally participates as a local advisor or arranger, especially in South African markets.

Product	Provided by	Status	Description
Bond issuance	RMB	◍	Acts as arranger or underwriter for corporate and government bond issues.
Equity issuance	RMB	◍	Limited involvement in primary equity markets; may support through structured financing products.

Customer Segmentation

A universal bank such as FirstRand Limited typically serves a wide spectrum of customers — from individual consumers to large multinational corporations — each with unique financial needs, risk profiles, and value potential. To manage this diversity, the bank employs a multi-dimensional segmentation strategy, combining demographic, geographic, psychographic, behavioral, technographic, value-based, needs-based, and lifecycle segmentation.

Behavioral

Behavioral segmentation focuses on arrears status or utilisation. This includes segmenting customers as either new, exisiting or closed off.

Technographic

Technographic segmentation identifies customers based on technology usage, digital maturity, and channel preference. This is increasingly critical as banks digitise their service models. This includes partnerships to distribute the product.

Demographic

Demographic segmentation divides retail customers by measurable characteristics such as age, gender, income, net worth, occupation, and education level. For corporate clients, these are segmented by turnover and industry, from small and medium enterprises (SMEs) to large listed corporates.

Geographic

Geographic segmentation allows the bank to adapt its offerings to regional economic conditions, infrastructure, and cultural factors.

- Urban and metropolitan areas – focus on digitally enabled retail banking, credit products, and corporate lending.
- Rural and semi-urban regions – offer low-cost transactional accounts, mobile banking, and micro-lending solutions to improve financial inclusion.

Psychographic

Psychographic segmentation divides customers based on values, lifestyles, and attitudes towards money and financial planning. This helps banks position their products not just by what customers earn, but why and how they manage their finances.

- Aspirational and upwardly mobile individuals – motivated by convenience, brand prestige, and rewards (targeted via FNB Premier and Private Clients segments).
- Security-oriented savers – prefer low-risk investment products, insurance, and guaranteed returns.
- Entrepreneurial customers – seek business accounts, working capital facilities, and advisory services (served by FNB Business).
- Digitally progressive customers – prefer app-based, low-contact banking and value innovation in digital experiences.
- Socially conscious investors – engage through sustainable investment options and ESG-aligned funds (via Ashburton Investments).

Value-based

Value-based segmentation categorises customers according to their profitability and long-term strategic value to the bank rather than demographic or behavioural traits alone. This approach supports risk-adjusted return management, aligning customer acquisition and retention with economic value.

- High-value clients – yield significant contribution through balances, fees, or cross-product holdings (e.g., Private Banking and Corporate clients).
- Medium-value clients – often part of growth portfolios where product penetration and cross-sell potential are high.
- Low-value or cost-to-serve clients – serviced through digital or self-service channels to manage cost efficiency.

Needs-Based

This segmentation identifies customers according to specific financial needs or pain points, regardless of demographics or wealth.

- Everyday banking needs – current accounts, payments, and cards.
- Credit access needs – personal loans, SME lending, mortgages.
- Savings and investment needs – retirement planning, structured deposits, mutual funds.
- Risk protection needs – insurance, credit protection, and business cover.
- Transactional and treasury needs (corporate) – FX, liquidity management, and trade finance.

Needs-based segmentation allows product bundling and lifecycle planning — for instance, migrating a customer from a youth account to a mortgage and later to investment planning.

Lifecycle Stage

Lifecycle segmentation focuses on where customers are in their personal or business life journey, enabling proactive relationship management. Lifecycle segmentation ensures the bank maintains continuity of relationship as customers progress through financial milestones.

- Students / Early career – entry-level digital banking, student loans, savings starter packs.
- Young professionals – credit building, first vehicles, mortgages, and lifestyle banking.
- Families / Established earners – wealth accumulation, insurance, and investment planning.
- Pre-retirement and retirees – capital preservation, estate planning, and income-generating investments.
- Start-ups and SMEs – working capital finance, merchant services, and business accounts.
- Large corporates / institutions – complex lending, risk management, and investment banking.